

Market Redesign for Distributive Concerns: The French Electricity Market and the European Energy Crisis

Working paper

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Abstract

This paper examines market redesign as a mode of distributive governance. Against the orthodox separation of allocative efficiency from distribution, it shows how public authorities mobilise the architecture of liberalised markets to pursue redistributive aims, and asks how far that ambition can be realised. Drawing on the French electricity market and the European energy crisis of 2021–2023, it reconstructs two decades of price-control policy and argues that redistributive market design rests on three intertwined conditions — political mobilisation, institutional validation, and economic expertise — whose articulation we call redistributive performativity. The crisis exposed the fragility of that articulation: the coexistence of heterogeneous market temporalities, the opacity of forward and over-the-counter transactions, and the dominance of a marginalist representation of price together generated large, partly unknowable distributive effects and defeated the instruments — a windfall tax on inframarginal rents in particular — designed to capture them. The case suggests that the limits of redistributive design lie less in regulatory capture than in the distribution of market expertise within the state and the cognitive frames through which crises are made legible.

Keywords: market design; performativity; distribution; electricity markets; economic expertise; energy crisis.

1. Introduction

According to Walrasian economics, to design a competitive market is to establish the institutional conditions of competition under which prices emerge freely from decentralised decisions. On this view, market design serves efficiency — the maximisation of net social benefit — through unconstrained price variation, while distributive questions are to be settled outside the market, through fiscal transfers. Public authorities, however, routinely contest that separation. In energy (Reverdy & Breslau, 2019), as in housing, health (Geiger & Gross, 2018),

transport, and agriculture, regulators seek to combine competitive mechanisms with political objectives of price stabilisation, market inclusion, or fairness. The attempt to reconcile two logics that economic orthodoxy holds apart — market autonomy and distributive control — constitutes a paradox at the heart of market design.

Sociological studies have shown how experts continually reconfigure market infrastructures so that they “perform” (Callon & Muniesa, 2005; Breslau, 2013), yet they have seldom interrogated a key condition of that performance — the uncertainty surrounding price — or its distributive effects. Sociological narratives have tended to follow market designers’ own discourse, which frames intervention as the correction of identifiable market failures (Ossandón & Ureta, 2019) or as the pursuit of goals external to distribution — efficiency, innovation, sustainability. That framing presents intervention as neutral and technical, and in doing so makes its distributive anticipations harder to scrutinise. It may help to explain why the sociology of market design has been charged with depoliticising markets (Mirowski & Nik-Khah, 2007).

Where most studies treat distributional effects as secondary outcomes, this paper argues that they are a central concern of market redesign, and in some episodes its very purpose. Some investigations show how well-represented actors capture the design process even as the technical character of the debate obscures their influence (Breslau, 2024; Rilinger, 2024). Our question is narrower and more constructive: how far can market designers reconfigure the distributive effects of markets *intentionally*? The paradox this entails is the ambition to inscribe redistribution within an architecture grounded in economic expertise and competition institutions whose declared ideal is the maximisation of total surplus, indifferent to the gains and losses of particular participants.

To examine the capacities and limits of redistributive design, we take the French electricity market, where design has been tasked — more or less explicitly — with controlling prices so as to preserve a politically acceptable economic balance. Electricity is a privileged terrain for market design (Breslau, 2013; Rilinger, 2024) and among the most volatile of markets. The liberalised market rests on an auction in which supply and demand curves intersect to produce an instantaneous equilibrium price; the marginal cost of the last unit dispatched in merit order sets the price received by all producers. This represented a radical break with the cost-plus regime that previously governed vertically integrated utilities (Yon, 2015): instead of cost coverage and

regulated returns, producers now relied on a volatile price expected to steer investment toward an optimal long-run supply structure. Yet the conditions required for such convergence — perfect arbitrage, elastic demand, stable expectations — are rarely met (Joskow, 2006; Léautier, 2018). Technological rigidities, capital intensity, and industrial inertia open persistent gaps between marginal price and average cost; producers experience windfall profits or under-compensation depending on fuel prices, demand, or weather. Prices are also extremely sensitive to design failures and political interventions, with significant consequences for inflation and household purchasing power.

The French case is distinctive. While EDF holds a near-monopoly with stable production costs, European integration has produced a domestic price that tracks neighbouring zones whenever national output falls short of national demand. Given the large discrepancies between marginal costs across coupled zones, integration has generated price fluctuations that are politically difficult both to understand and to justify to stakeholders. The political demand for a design that neutralises the effect of wholesale prices on consumers and industrial clients is, in France, recurrent.

This article traces some twenty years of price-control policy in the French electricity sector, within the broader context of France's integration into the European market. Three crises punctuate it: prices roughly tripled between 2004 and 2007, fell by a comparable factor around 2015, and rose almost tenfold in 2022, when European gas scarcity combined with a country-specific shock — the extended shutdown of a large part of the nuclear fleet following the discovery of a generic safety defect. The article concentrates on this most recent period, showing how earlier price-control policies, weakened by “non-decision” before the crisis, failed to govern the distributive effects they were meant to control.

We treat market redesign as a mode of distributive governance and ask how far it can articulate the liberal ideal of price formation with the political imperative of price control. Three conditions are entangled in that work. The first is *political mobilisation*: its objects shift with energy strategy — for years the national priority was to use the nuclear rent to finance renewables and electrification; more recently it has become to let EDF retain that rent to fund new nuclear capacity. The second is *institutional validation*, largely associated with the European competition framework, within which price-control measures can readily be read as distortions or even

capture, so that the configuration narrows the scope of legitimate correction and fixes the legal boundaries of state action. The third is *epistemic*: intervention presupposes a precise understanding of price dynamics, yet the dominant marginalist representation — a producer–consumer model of instantaneous equilibrium — obscures the dense flows of forward and supply contracts, constraining the state while leaving ample room for traders and suppliers. The intertwining of these three conditions is what we call redistributive performativity.

2. The distributive question in the politics of market design

Most market studies have concentrated on coordination and calculation, reproducing economists' own diagnostic categories — externalities, information asymmetries, coordination failures — while neglecting how market devices actively shape distributional asymmetries. Prices figure as a consequence of design rather than as contested artefacts (Eloire & Finez, 2023). Consequently, the sociology of performativity has largely ignored the politics of price: how distributive conflicts are managed, or reframed as technical issues. Power struggles between stakeholders in policymaking remain the prevailing lens through which distribution is approached (Fligstein, 2002).

A first family of measures operates *ex ante*, before the market, to remove economic barriers to potential participants — producers or consumers — burdened by uncompetitive costs or prohibitive prices. Geiger & Gross (2018), for instance, examine arrangements in which restricted access reveals a “market misfire,” and show that redistribution can be achieved through institutional reorganisation rather than direct transaction control. In most European countries, the objective of redirecting investment toward renewables translated into a “protected space” against competition from other generation technologies; here the distributive dimension — favouring one type of actor through dedicated support — was aligned with an avowed political goal, which reinforced its legitimacy. The policy persisted even as the levelised cost of solar and wind fell to, or below, the level of competing technologies, the rationale being that renewables remain disadvantaged by intermittency and by the overcapacity they induce in wholesale markets — the so-called cannibalisation effect.

Intervention may instead display an explicit ambition to act on prices. The Market Stability Reserve of the EU Emissions Trading System (Neyland et al., 2019) illustrates how authorities

adjust the supply of allowances to steer the carbon price toward a level consistent with climate objectives. Such distributive interventions in price formation are commonly justified by structural asymmetries in the competitive game: consumers harmed by sudden spikes, small producers threatened by price collapses, new entrants disadvantaged by incumbents' strength. It is harder to justify intervention by distributive considerations in the opposite case, when the measure protects incumbents — yet design may strengthen an incumbent's position without that purpose being spelled out.

The French capacity mechanism is exemplary. It was warranted as an adjustment securing supply as the share of intermittent renewables rose, against the backdrop of a crisis of the “energy-only” model in which price signals alone fail to trigger sufficient investment in flexible, dispatchable generation — the “missing money” problem aggravated by the post-2008 collapse in demand and the rise of subsidised renewables (Reverdy, Marty & Bolton, 2021; Bolton & Clausen, 2019). In fact it was also a crisis of price depletion. The design and implementation of the French mechanism were driven as much by the stabilisation of incumbents' revenues as by the security of supply. This reveals the interplay between stated objectives and the influence of dominant actors at the level of practical design work. Against accounts that see market regulation as largely captured by dominant firms (Fligstein, 2002), state practice combines the pursuit of external political objectives with the attempt to reshape market structures toward a politically acceptable equilibrium (Vogel, 2018). Whether explicit or pursued indirectly, the politics of price within design is the most demanding exercise in this field.

3. Institutional control over market interventions

A second question is whether the institutional architecture of liberalised markets permits redistributive rationalities to be expressed at all. The persistent silence on distribution in performativity studies reflects, in part, the institutional environment in which European markets operate. Since the 1990s, integration has been built on the assumption that competition and price mechanisms are the most legitimate instruments for coordinating economic activity across member states. Within this framework, price formation functions at once as a technical process and as a moral ideal, embodying fairness and efficiency together (Davies, 2016).

The resurgence of distributive concerns has not restored political discretion. It has unfolded under a regime of institutional control that tightly regulates how and when states may intervene, operating through the juridical and procedural apparatus of competition law and state-aid control. The history of renewable support exemplifies this normative realignment. As Lauber & Schenner (2011) show, the Commission consistently favoured tradable green certificates — a harmonised, market-conforming instrument — over feed-in tariffs, which guaranteed long-term purchase prices and national policy autonomy but were portrayed as distortions incompatible with the internal market. The State Aid Modernisation agenda of the early 2010s institutionalised a new compromise: support was acceptable only if it took the form of competitive auctions, framed as neutral instruments ensuring cost efficiency, their articulation with the market managed through contracts for difference (Fitch-Roy, Benson & Woodman, 2019).

This form of control explains why designers seek to justify each readjustment in the language of market failure — negative and positive externalities for renewables, or the failures that prevent the energy-only market from sustaining investment in security of supply (Reverdy, Marty & Bolton, 2021). To win approval, member states had to design technology-neutral, cross-border tenders; in the French case the initial plan for capacity obligations was supplemented, under Commission pressure, by an auction for new capacity. A consequence is that market corrections themselves become standardised. Rather than enabling substantive debate over distributive aims, institutional control channels intervention into a narrow set of approved modalities — tenders, auctions, contracts for difference, capacity mechanisms — whose legitimacy rests on conformity to the competition paradigm. As these devices come to appear the “legitimate” forms of correction, they generate inertia and stabilise a limited repertoire to which states are bound.

4. The technical and cognitive fragilities of price governance

Re-integrating distributive politics into market design requires a closer look at economic expertise. While institutional control defines the legal conditions of intervention, the technical and cognitive infrastructures of liberalised electricity markets impose a subtler constraint. Markets are not only juridical constructs; they are calculative architectures built on economic theory, numerical models, and experts’ interpretive frames. In electricity, marginalist theory has shaped both design and its political justification, modelling the market as a real-time auction whose price reflects the marginal cost of the last unit dispatched (Breslau, 2013; Rilinger, 2024).

This merit-order logic assumes that prices secure optimal allocation, guide investment, and guarantee long-run balance.

Yet the spot auction covers only a fraction of transactions. European markets are multi-temporal systems combining day-ahead auctions, intraday exchanges, and balancing markets for centralised trade with a dense web of forward and bilateral contracts traded over the counter. The sector exhibits an exceptional density of calculative layers — what [Callon \(1998\)](#) describes as a serialisation of “micro-frames” — each producing its own logic of evaluation and its own margins of manoeuvre, and each corresponding to a distinct temporality of coordination, from hours to years. As [Caliskan \(2007\)](#) and [Reverdy \(2010\)](#) show for commodity markets, inter-linked pricing practices generate chains of indexation that connect otherwise separate markets. Forward and bilateral contracts, which dominate traded volumes, rest on anticipated spot prices; traders and suppliers exploit the discrepancies, performing continuous inter-temporal and inter-spatial arbitrage. The accumulation of these micro-overflows produces liquidity but also systemic complexity ([Rilinger, 2025](#)): the market functions as a distributed machine for detecting and exploiting every inconsistency left by design.

Despite the apparent transparency of auction prices, large segments of the market remain opaque. Spot and balancing prices are public; forward and bilateral transactions are covered by commercial secrecy. On the dominant reasoning, this opacity is not a flaw: continuous arbitrage is assumed to reveal a “price truth” — veridiction, in Foucault’s sense ([Foucault, 1979](#)) — to participants themselves. In theory, liquidity and derivatives align expectations, forward prices converging toward future spot prices and over-the-counter trades toward centralised references ([Jefferis, 2018](#); [Léautier, 2019](#)). In practice the alignment is imperfect and easily disrupted. When supply, demand, or policy conditions shift abruptly — as in 2021–2023 — past transactions crystallise obsolete anticipations; contracts concluded at different moments for the same delivery diverge sharply, producing windfall gains and losses unrelated to current production costs. These discontinuities reveal the epistemic instability of a system that equates transparency with liquidity rather than with informational completeness.

Within such an environment, any distributive intervention must engage a highly reflexive system of expectations. Because prices form across multiple temporalities and information regimes, the effect of a rule cannot be directly observed: it must be modelled and anticipated. Regulators and

system operators therefore depend on increasingly sophisticated forecasting and simulation tools, and must pre-empt the misuse of their own rules. Because participants continually adjust to policy signals, redistributive interventions inevitably create arbitrage opportunities; the market absorbs political correction as information and converts distributive measures into trading strategies.

Regulation here exemplifies what [Davies & McGoe \(2012\)](#) describe as the constitutive tension within neoliberal rationality between epistemic humility and epistemic authority. On one side stands [Hayek's \(1945\)](#) claim that markets are superior information processors precisely because no central authority can match the dispersed knowledge of agents; on the other, the embrace of regulatory intervention grounded in price theory and welfare economics, in which the state must command high technical expertise to engineer “ideal” competitive conditions by identifying market failures ([Mirowski & Plehwe, 2009](#); [Ossandón & Ureta, 2019](#)). As [Rilinger \(2025\)](#) suggests, modern market bureaucracy governs through procedures, models, and algorithms rather than direct authority, attempting to manage a field of actors capable of exploiting every unmodelled contingency. The result is a paradoxical intensification of dependence on economic expertise: the more regulators try to correct distributive effects, the deeper they are drawn into the epistemic infrastructure of the market.

Regulation is also dispersed across authorities — parliaments, governments, and independent regulators — a dispersion that encourages self-limitation. Governments acknowledge their limited knowledge and delegate to independent authorities the task of verifying the conformity of economic practice, which again stages the tension between epistemic humility and authority ([Davies & McGoe, 2012](#)). In such a system, “intervening on prices” becomes epistemically fragile: regulators no longer act upon a stable object but upon layers of expectation that recursively adapt to their own action. The question for distributive politics is then acute. How can the state correct market outcomes when the price it seeks to influence is itself a moving target, co-produced by models, anticipations, and arbitrage?

5. Materials

The investigation proceeded first by a systematic collection of public documents produced by the French regulator and the energy administration between 2015 and 2025 concerning interventions

in the electricity market, together with the public position-takings of stakeholders — in the press, online, and before parliamentary inquiries — and a body of post-crisis reports. This corpus was complemented by fourteen interviews conducted mainly in 2024 and 2025 with actors drawn from the budget and energy administrations, the sectoral regulator, the incumbent utility, alternative suppliers, and industrial representatives. One set of interviews clarified the motivations of public intervention, the expertise mobilised, and the political and institutional constraints bearing on it; the other refined our knowledge of market practice and of the effects of intervention on economic behaviour. The analysis reconstructs the unfolding of price dynamics alongside the public decisions intended to correct them. Its principal difficulty lay in the entanglement of market practices and public interventions, whose distinct effects are hard to isolate, so that a systematic crossing of interviews and public reports was required. The reconstruction also draws on the author's prior professional experience in the sector, treated here as incorporated archive (Loirand, 2021).

6. The French electricity market before the crisis

6.1 A partially liberalised market

The liberal turn of the 1980s translated, across Europe, into a redefinition of the state as market organiser, with network industries restructured through dense legislative activity driven by the European Commission (Breslau, 2013). In France the process was marked by shared reluctance, particularly toward dismantling EDF's monopoly (Meritet, 2007; Isidoro, 2002). Before liberalisation, tariffs were set administratively on a cost-plus logic, grounded in an engineering epistemology designed to secure the best social return (Yon, 2015). The 2000 law on the modernisation of the public electricity service opened generation and retail supply to competition for eligible customers and created a transmission operator separated from EDF; the perimeter of eligible customers was progressively widened by decree until full opening in 2007. From the early 2000s, EDF and its competitors offered market-based contracts indexed to wholesale marginal pricing, but rising gas prices from 2004 made these offers — priced at the marginal cost of gas-fired plants — less attractive than regulated tariffs, prompting industrial discontent and exposing the complexity of managing dual pricing systems (Reverdy, 2014).

Industrial lobbying intensified as costs surged, leading in 2007 to the politically expedient but EU-incompatible TARTAM mechanism, which let firms return to regulated tariffs set above the

initial level but below wholesale prices. Simultaneously, small-consumer markets remained unattractive to entrants: in 2007 a competitor accused EDF of a margin squeeze, and the competition authority required EDF to sell power at cost to its rival in the name of market “contestability.” The Commission’s threat to break up EDF’s nuclear assets — a structural approach to competition — proved politically untenable in France (Dezobry & Thouvenin, 2009). A commission chaired in 2008–2011 produced the compromise: abandon all tariffs except for small consumers, and institute regulated access to nuclear output. The NOME law of December 2010 introduced the ARENH mechanism, operative from mid-2011, and the principle of contestability, whose effects in the tariff-setting algorithms would not materialise until 2015. The hybrid structure preserved a legacy of state intervention within a liberalised market and created layers of regulatory complexity that continued to offer arbitrage to sophisticated actors (Reverdy & Breslau, 2019).

6.2 A redistributive regulation that bypasses the market

ARENH allows alternative suppliers to purchase up to 100 TWh per year — originally about a quarter, now closer to a third of nuclear output — at a regulated price meant to reflect the cost of historic nuclear production, set at €42/MWh. Although the price is meant to track actual costs, disagreement persists over its calculation: reinvestment assumptions, amortisation periods, discount rates, and above all whether the basis should be accounting or economic. The cognitive legacy of a period when investment was administered favours the former, whereas EDF, invoking the new institutional landscape, continues to advocate the latter. Suppliers submit requests at annual windows, justifying ex ante the half-hourly consumption of their client portfolios; these projections are legally binding, and the regulator computes a theoretical entitlement, applying ex post penalties for deviations. The institutional separation of the transmission operator from EDF is what makes such market-*agencements* operable: the operator needs information on the destination of “ARENH electrons” for dispatch, while on the EDF side volumes can be anonymised to avoid distortion.

The mechanism rests on two fragilities. The first concerns price. When ARENH was designed, wholesale prices were expected to remain well above €42/MWh, and a scenario in which they fell below was not deemed plausible. In 2015, however, falling wholesale prices made ARENH unattractive, revealing the design’s asymmetry: it capped prices for competitors but provided no

floor for EDF. The second concerns use. In late 2016, forward-market volatility enabled arbitrage: early in the year, suppliers hedged 2017 needs on a forward market trading below ARENH; when prices rebounded in autumn, they turned to the ARENH window while reselling their earlier forward positions to EDF at the higher market price. ARENH thus functioned as a free option — suppliers drawing on it when market prices exceeded €42/MWh and on market contracts when they fell below. The longer the delivery period or the larger the fluctuations within it, the greater the scope to arbitrage the rule. Designed around a static, annual model of procurement, ARENH failed to account for the temporal arbitrage inherent in forward contracting, so that gains accrued to suppliers and traders without being monitored or returned to consumers — against the very objective the mechanism was meant to serve.

6.3 A regulation that grows by complicating itself

The period of low wholesale prices let alternative suppliers expand their market share, which they sought to preserve as prices rose again from 2018. By 2019 their demand for nuclear power exceeded the 100 TWh cap, reaching some 130 TWh, and a rationing system was introduced: suppliers obtained a proportionate share of the regulated volume and procured the rest on wholesale markets. This raised their procurement costs and prompted price increases; to keep the regulated tariff “contestable,” the regulator raised retail tariffs accordingly. Paradoxically, rationing benefited EDF, since a larger share of its nuclear output could now be valorised at market prices.

Negotiations were opened to raise both the volume and the price of ARENH and to make it symmetric, protecting EDF when prices fell. But symmetry could be construed as state aid to a dominant actor and so required Commission approval. The talks unfolded within “Project Hercule,” a restructuring that would have grouped EDF’s commercial, distribution, and renewable activities while isolating nuclear; the Commission balked at the risk of cross-subsidy between regulated and unregulated segments, and strong union resistance to the marginalisation of the retail arm sealed the project’s abandonment — and with it the prospect of a symmetric ARENH. Regulators were thus left with a mechanism widely seen as structurally flawed. Because much nuclear output is allocated in the ARENH window and the remainder sold immediately thereafter through forward contracts, hedging is concentrated into a narrow period, undermining a liquid year-round forward market. The episode illustrates the inertia of reform,

constrained by political negotiation and institutional approval, and the persistence of a primary concern: to supply consumers at production cost rather than at the market price. Economic anticipation pulled the same way, since the additional revenue rationing indirectly conferred on EDF improved its capacity to finance the new nuclear plants now on the presidential agenda.

Rationing also introduced a substantial market component into otherwise regulated tariffs. The regulated sales tariff for low-power segments is built by stacking bricks — the energy component, capacity, transmission, marketing, and a normal return — the energy component itself combining the ARENH share, a market supplement, and, from 2019, a supplement linked to rationing. Each brick embeds a different market horizon: the ARENH price is fixed; the market supplement is computed by smoothing two- and one-year forward products; the rationing supplement reflects wholesale prices over the last three months of the year preceding delivery. The complexity is a direct consequence of contestability: the tariff publishes a supply pattern that EDF's competitors are presumed able to replicate, if not improve upon. As the following sections show, that very layering of heterogeneous temporalities is what generated the most consequential distributive effects of the crisis.

7. The energy crisis: stabilising prices to prevent a political crisis

France's energy crisis combined Europe-wide shocks with country-specific vulnerabilities. The conjunction left the system fragile in its supply–demand balance and exposed consumers to risk premia markedly higher than those observed in neighbouring countries. The spectre of a backlash on the model of the Yellow Vests — repeatedly invoked in interviews and sharpened by the proximity of national elections — compelled the government to enact an exceptional set of consumer-protection measures across 2022 and 2023.

In the first half of 2021, the post-Covid recovery drove a sharp rebound in energy demand. Even before the Russian invasion of Ukraine, actors were watching gas and coal markets and anticipating scarcity; for a time the French mechanism gave no specific cause for alarm. By the second half of 2021 three policy levers were under discussion: raising the ARENH volume so as to shift redistribution onto EDF; cutting electricity taxes, a cost borne by the state; and passing residual costs to consumers. The offices of the Prime Minister and the President favoured exceptional protection, opening discussion of a price shield for gas, whose rising cost was

already hitting households. For electricity the administration initially judged a shield unnecessary, since the smoothing in the regulated tariff drew on the previous two years' prices and was expected to remain stable. To the administration's surprise, the Prime Minister announced a shield for both gas and electricity on the same day — a likely misunderstanding within the cabinet — on the assumption, also, that the shield would not burden the budget in the long run, since increases would be offset in later years.

December 2021 crystallised the French singularity. A structural supply shortfall was already visible: nuclear maintenance had been disrupted by Covid, with consequences expected to last three winters, and the 2021 drought had cut hydropower and reservoir levels, a situation the 2022 drought would worsen. A November cold spell pushed 2022 forward prices above €200/MWh. Against this backdrop the regulator reported an exceptional ARENH request for 2022 — some 160 TWh — yielding an allocation rate of only 62 per cent, and publicly regretted that even in such circumstances the cap had not been raised. Electro-intensive industries and alternative suppliers lobbied intensely to lift the ceiling, in addition to the tax cap already in the 2022 budget; some advisers urged ministers to raise it in the autumn and to press EDF not to sell nuclear output on the wholesale market, but EDF opposed the move and continued its sales. EDF's position then turned critical: on 15 December 2021 the same defect was found at two reactors, and the subsequent identification of a generic flaw — stress-corrosion cracking — foreshadowed the extended shutdown of a large part of the fleet. In February 2022 this domestic supply crisis was compounded by the fallout from the invasion of Ukraine.

An extension of the mechanism, “ARENH+,” was then announced: an additional 20 TWh at a revised price of €46.2/MWh — a figure no interviewee could rationalise, some describing it as improvised. The extension was purely financial: EDF would compensate suppliers, in proportion to their share of the 20 TWh, for the difference between the ARENH+ price and a reference market price of €257/MWh drawn from December 2021 quotations for 2022. The decision sparked a controversy that ran for nearly a year. EDF and its unions, framing the measure as expropriation, took their grievance to the highest administrative court; both claims were dismissed on grounds of public interest. The sequence stages, distinctly, the three dimensions of redistributive performativity. Economic performativity cannot account for it; on the contrary, a configuration in which only marginalist theory was performed would have favoured EDF's

position — that of a private actor in a risky market, entitled to ordinary treatment relative to its competitors.

Politically, there was no consensus for technological neutrality — for treating nuclear as one generation asset among others. The opposite held: a political consensus, EDF excepted, to deepen the redistribution of the nuclear rent in a situation where the “general interest” was invoked, nuclear being the touchstone of that redistributive project in France. At the European level, too, the problematisation of windfall profits and the Commission’s encouragement to tax them reinforced the political footing of this redistributive design. Institutionally, ARENH+ extended ARENH directly; the architecture governing nuclear regulation offered a hospitable space for deepening the redistribution of its rents, and the extension was enacted by purely administrative means — a decree and two orders — amid sharp inter-administration struggles over both the detail and the legitimacy of the measure. Technically, the regulator’s standing as operational manager of ARENH eased implementation even as new difficulties arose. Because ARENH+ was a *financial* extension, returning rent to consumers required reconstructing a counterfactual — the suppliers’ opportunity cost under a rationing reduced by 20 TWh — which presupposed knowing exactly what each supplier had purchased to cover its rationed demand. Faced with commercial secrecy, the regulator adopted normative hedging assumptions common to all suppliers, grounded in observable quotations. However imperfect, only an administrative authority vested with market expertise could legitimate such terms — expertise that conditions redistributive performativity and, in the same gesture, reaffirms the economic performativity of the marginalist model on which the regulator’s legitimacy rests.

By 2023 the political conditions for renewing this ad hoc design no longer held. Despite the regulator’s repeated calls to raise both ARENH’s volume and price, EDF’s deficit — driven by low nuclear availability — altered the calculus: the government declined to extend ARENH+, allowing EDF to improve its results and reduce its debt. The decision came amid the relaunch of nuclear in France, a programme then estimated at more than €50bn, and was eased by plans to claw back part of EDF’s additional earnings through a windfall tax on inframarginal rents, justified by a marginalist reading of pricing. In the space of public objectives, redistribution now competed head-on with the reconstitution of EDF’s liquidity through the retention of nuclear rents in its favour.

7.1 Heterogeneous temporalities and windfall effects

The 2021–2023 period was marked by volatility and risk premia that many expert actors judged disconnected from technical fundamentals. The exceptional configuration of mechanisms supports the thesis that the coexistence of heterogeneous temporal frames produces important economic effects: some actors lost, others gained, whether through windfalls or through expertise aligned, if not with the spirit of the market, then at least with its rules. The economic effects of fluctuation and intervention are tied to trading and supply practices contractually and temporally decoupled from the spot auction. On the demand side, the diversity of consumers yields a wide range of procurement horizons. The most electro-intensive align their strategy with the dynamics of their own output markets, covering regular needs through long-term arrangements and ARENH and turning to the spot market — around a quarter of volume — to track shorter-term sales. Small and medium professional consumers, a majority of sites but a minority of volume, mostly hold fixed-price contracts of two to three years, regulated tariffs where eligible, or offers largely indexed to ARENH; their conditions are the least documented by the authorities. Among residential consumers in 2021–2023, roughly two-thirds were on regulated tariffs and most of the remainder on multi-year fixed or indexed contracts.

On the supply side, the craft consists in hedging statistically predictable volumes as soon as a contract is signed; the difficulty is to manage the risk attached to costs and volumes unknown at signature, provisioned through shorter-term forwards, partial ARENH, or the volatile spot market. The retail structure therefore exhibits strong price inertia, contracts resting on multi-year smoothing or on ARENH. This inertia produced windfalls for at least four classes of actor. Some non-residential consumers had locked in supply two or three years ahead and found themselves holding electricity worth far more than they had paid; covered by their ARENH rights, they resold part of their contracted volumes at the market price, capturing a large margin without breaching the rules. Some industrials gained chiefly on cash flow: the slow, “rusty” post-Covid recovery left weak competition in European markets, enabling firms to pass energy costs on to their own customers in anticipation of rises they were already flagging in 2021, so that those already hedged posted spectacular 2022 results through the billing lag between supply and contemporaneous prices.

Forward-covered suppliers gained as well. With the fleet largely unavailable and hydro low, the system approached criticality in 2022 and forward prices reached unprecedented peaks in the summer, signalling a market consensus on possible winter failure. From the autumn, reactor restarts, an unusually mild winter, and a successful national sobriety campaign relaxed the balance; suppliers hedged for normal 2022 consumption found themselves with surplus volumes bought at prices that allowed profit on resale even into a less strained winter market — a gain further fuelled by the large risk premium embedded in autumn 2022 quotations. EDF was the fourth beneficiary, though it was not exposed politically as suppliers were. Its 2022 financial loss stemmed largely from the lost nuclear output it had to repurchase forward at prices above €200/MWh; yet at prevailing 2022–2023 price levels, the rationing supplement revalued the curtailed nuclear share resold to EDF's own clients far above nuclear cost, generating an advantage some actors estimated at well over €13bn. EDF's communication on the day ARENH+ was announced presented only the roughly €4.5bn cost of not replicating the 20 TWh, reasoning in opportunity cost from a reference situation that was itself highly favourable, and obscured the gains rationing conferred. The framing had concrete effects: after EDF reported a net loss near €9bn and a tariff increase capped at 4 per cent — owed mainly to the neutralisation of taxation — its share lost some 15 per cent of its value, falling toward €8; when the state, as shareholder, moved to buy back third-party shares, it offered a premium bringing the repurchase to €12. The synchronisation of these regulatory choices with a major capital operation underscores how opacity, rooted in differential access to expertise, can generate systemic spillovers.

7.2 Smoothing in the regulated tariff

The regulated tariff introduces a lag between market references and the prices applied to eligible consumers. The coexistence of past-derived prices embedded in the tariff with offers based on present or future expectations created arbitrage shared among EDF, alternative suppliers, and consumers — securing gains without exposure to price risk and turning a time differential into systematic opportunity. Two features frame the mechanism. First, consumer associations treat the tariff as a reference point: even when less competitive in money terms, it offers legibility and a form of insurance, functioning as a cognitive resource. Second, the incumbent must supply any customer who requests the tariff, so that it operates as a free option — consumers can leave for the market when prices are low and return to the tariff when they are high, an arbitrage that

contestability deliberately encourages. Because contestability requires that competitors be able to replicate the published supply pattern, the market supplement cannot be a simple weighted average of past prices, which no competitor could anticipate; the requirement of replicability thus locks heterogeneous temporalities into the very construction of the tariff.

This mechanics operated at full force in 2022. With market prices at historic highs while the energy component still rested on the low 2020–2021 quotations, consumers had every incentive to exercise their option and return to the tariff. The long-running erosion of the incumbent's regulated-tariff portfolio reversed: monthly losses that had run at around 122,000 customers fell to some 32,000 between mid-2021 and late 2023, with a net gain of 56,000 in the last quarter of 2022. For the incumbent the consequence was costly, since serving returning customers meant repurchasing power above the tariff level. Conversely, suppliers able to replicate the tariff with a mix of price references could arbitrage it independently of their performance as suppliers; when inertia held the tariff above the falling market in 2023 and 2024, they covered clients with power whose market value had dropped while replicating a tariff-like offer, and — on the interview evidence — captured significant profit.

Smoothing proved especially advantageous to EDF in 2023 and 2024. The 2023 tariff was computed on the exceptionally high 2022 forward prices — the one-year calendar product traded above €400/MWh between mid- and late 2022, peaking above €1000/MWh in the summer. As prices fell in 2023, EDF benefited from the tariff's inertia: the market complement rose from €28.8/MWh in 2022 to €124.2/MWh in 2023, and — since EDF's output largely covers its own clients — the revenue of the whole fleet was set by regulation at high market levels. The rationing supplement followed the same path, climbing from €63.9 to €89.9/MWh, chiefly because ARENH+ was not renewed in 2023. Despite a marked fall in market prices entering the 2024 tariff, the latter remained higher than at the crisis's onset; in its delicate management of the macro-balance, the state chose to leave this rent to EDF. The point is general, and the regulator stated it plainly in answer to the Court of Auditors, which had queried a gap of some €42.5bn between system costs and revenues: there is no direct link between the production cost of a given year and the price paid by consumers that year; the gap is the normal outcome of the normal functioning of the actual design under exceptional conditions. The same actors who gained as the

situation improved in late 2022 had lost earlier, and would have lost had the crisis deepened — a caution on interpreting behaviour in the face of unprecedented events.

The competition authority nonetheless questioned whether smoothing alone justifies the tariff, noting its two principal flaws: it has no effect outside crises yet requires state intervention within them, and it distorts competition without relation to the efficiency of supply. EDF's preferred response is to deepen the logic — to replace ARENH with a long, five-year smoothed market price that would soften and slow visible increases. But lengthening the smoothing window multiplies the arbitrage available to alternative suppliers and grounds competition not in better service but in the opportunities opened by coexisting price references. Pushed to its limit, the neutralisation of arbitrage would leave only a spot tariff exposing consumers fully to volatility — politically unacceptable — or a charge on switching, equally so. The standing trade-off is therefore between full exposure to unpredictable prices and a lengthening of smoothing that opens, in opacity, substantial arbitrage for market actors.

7.3 Margin calls

Supply resembles insurance: by pooling heterogeneous consumption profiles, the supplier provisions predictable volumes but must manage the lag between its tariff commitment and the realisation of procurement costs. Once ARENH volumes and the rationed share are known, suppliers have a brief window to hedge the balance or bear the financial and physical risk of covering it on the spot market — a share of between a tenth and a fifth of the portfolio in the relevant years. Liquidity at that point is thin, so price swings are large; where there is no physical flow, the risk is passed into consumer offers. But a second-order risk also operates. Between the moment an offer is made and the moment its risk is measured, a non-trivial gap can open: in 2022, intraday swings exceeding ten per cent meant very different things at €400 and at €60, producing cascading effects on clients.

More structurally, the mechanisms that let suppliers secure supply ahead of delivery — and thus reveal their cost structure progressively rather than at the last moment — are gated by financial standing. Forward products carry a system of margin calls covering the risk of market deviation and of settlement; smaller suppliers quickly face heavy cash-flow exposure. When one buys power years ahead, the counterparty must, in most contracts, post collateral against the gap between the purchase price and the prevailing price, so that a sharp rally generates large

disbursements. In 2022 volatility made these calls acute: several actors faced difficulty, and not only the smallest — a Swiss supplier required some four billion francs of state support to cover defaulting guarantees, and in France suppliers failed or posted poor results under this mechanic alone. Lacking sufficient guarantees, smaller suppliers are pushed toward shorter-term and spot procurement, exposing them to greater volatility in a vicious circle where financial fragility drives riskier positions. Their existence in turn opens arbitrage for larger actors, as in 2023, when over-covered suppliers — left with unconsumed volumes by mild weather and successful sobriety — resold at a profit above ARENH to consumers who had been rationed and unable to hedge.

An architecture meant to foster competition thus produces a hierarchical stratification in which dominant positions are reinforced by exploiting the vulnerabilities the devices themselves activate. The end of ARENH is likely to consolidate two poles of supply: one, the preserve of the largest actors, able to hedge over the long term and sustain a durable customer base even in crisis; the other exposed to volatility and effectively speculative. Against the classical claim that convergence toward maturity on forward markets brings convergence in the knowledge of one's own costs, the crisis showed the opposite — that, for the financially weakest, such convergence can mean the late and damaging disclosure of a cost structure.

7.4 Taxing the inframarginal rent

With European prices far above the production cost of most dispatched capacity, the Union adopted measures to redistribute what it cast as undue windfall profits. The French transposition, the contribution on inframarginal rents, levies ex post 90 per cent of capacity operators' income above technology-specific thresholds set to preserve a "fair margin," assessed across periods in 2022–2023, with deferral permitted between them so that the yield rests on profits over the whole period rather than on cash-flow swings. Several segments fall outside its scope, including hydro reservoirs and — decisively — trading. The instrument rests, as its name implies, on a simplified picture of exchange: a single market price, set against aggregate demand, generating in scarcity a rent above "normal" conditions. Its sanction by the market was measured in billions: against the €12.3bn anticipated in the 2023 budget for 2022–2023, it raised roughly €200m for 2022 and €400m for 2023 — a yield some twenty times below estimate, and a failure for the public finances at a moment of vast consumer-protection expenditure.

Two framing biases account for the failure. The first concerns the perimeter. Trading, particularly lucrative in volatility, was excluded; the incumbent's trading arm alone earned several billion in 2023, materially cushioning its losses over the period, and other integrated players gained likewise. The regulator countered that a tax of this kind could not operate on wholesale traders, since the same megawatt-hours pass through multiple transactions, an actor buying at one moment and selling at another; an ex post declaration invites the optimisation of declared revenue — a gas molecule routed to one plant or another, or to industrial customers, can always be assigned to the dearest electricity product for the purpose of the levy. The deeper obstacle is the impossibility of tracking market movements at a fine enough granularity to make the effects of redistribution visible, which has led the regulator toward the prospect of a normative accounting fixed at frequent milestones and not revisable after the fact.

The second bias concerns price forecasting. Because the budget is voted in December, the yield was estimated at the height of 2023 quotations, which remained above €500/MWh despite the gradual return of nuclear output. The reasoning assumed that the value of electricity on forward markets progressively reveals the average price at delivery; but 2023 prices fell sharply and unexpectedly, surprising all participants, so that the estimates inscribed in law were revised down through the year to the eventual yield. The episode illustrates the paradox of public policy on electricity markets in crisis: precisely when political pressure for intervention peaks, the state's capacity for investigation and objectivity is most weakened by the uncertainty that defines such periods.

7.5 Regulating EDF's nuclear revenues

The interviews converge on the contradictions within a state that holds, simultaneously, the positions of shareholder and regulator — a “schizophrenia,” in one actor's word — over a utility whose nuclear output is cast as the keystone of an electrification-led transition. The shareholder must act in the firm's long-term interest; the regulator arbitrates between EDF's self-financing capacity and the competitiveness and purchasing power of the wider economy. These contradictions track the drift of public objectives, which resist clear reading: protecting consumers, financing fleet renewal, or managing demand when supply is already decarbonised but electrification and re-industrialisation are slow to take off. The result is a series of indeterminacies in the form and level of nuclear regulation, and so a source of opacity and

unpredictability for the market. Even once stabilised in its circulating form (Chiapello & Gilbert, 2016), the more deeply inscribed questions of design replay, at their level, the unresolved relation between EDF and the state.

All actors share the assessment that ARENH, its edge effects aside, protected consumers and redistributed the nuclear rent. All note, too, a powerful discursive framing against it by former EDF executives aligned with the unions, mobilising service-public and sovereignty references to build an ideological coalition against a mechanism cast as imposed by a pro-competition European agenda — a framing that effaced the mechanism's chief virtue, the protection of consumers and the stability of prices. It is probable that part of the administration and the political sphere were receptive to these arguments, with the paradoxical effect, given the ideological magnitudes at stake and the lessons learned about the opacity of price formation, of a new regulation that marks an important return to market references.

Against ARENH's asymmetry, a generalised contract for difference, indexed to the whole fleet, appeared to most actors a legitimate and conciliatory successor, reconciling the interests of consumers, operator, and administrations; France mobilised heavily between 2021 and 2023 to extend the scope of such contracts to existing and new nuclear within the European market reform. The shift, instead, to a lighter regime of progressive taxation — paired with a commercial offer letting industrials associate financially with EDF for a share of the fleet over fifteen-year partnerships — surprised all actors, EDF included. The arrival of a new chief executive intent on recovering commercial freedom reframed the choice: a regulated actor, the argument ran, does not control the regulated point and faces an unequal negotiation with a stronger government. The post-ARENH agreement was presented in November 2023 at the finance ministry — itself an index of the balance between the regulating and shareholding states — and signed a return to the market at a moment when wholesale prices, though falling, were still around €100/MWh. The horizon of expectation of shareholder and operator, over-determined by prices observed at the time, led to forgoing the protection of a floor price.

This choice is consequential beyond EDF's own trajectory, since the cost structure of capital-intensive generation — nuclear or renewable — depends heavily on the cost of capital; the regulator put the value of securing EDF's revenue at some €5/MWh for the consumer. A further opacity attends the asymmetry of information between regulator and regulated over financial

flows across EDF's branches. The regulator proposes an accounting that would act as a "natural incentive" to declare the true selling price of nuclear power: by tracking EDF's forward positions and reconciling unsold volumes at the latest quotations, the firm — though it has an interest in understating its revenue base — would be unable to arbitrate the market. The confidence contrasts with the regulator's own account of why the inframarginal-rent tax failed against the sagacity of traders; on the nuclear-revenue side it judges itself able to follow the flows through invoice- and account-based controls.

On the level of regulation, the threshold prices for the progressive taxation of nuclear revenue were initially set to guarantee, in expectation across EDF's simulated price scenarios, a remuneration on the order of €70/MWh — a figure that happened to match the accounting cost of nuclear plus a margin. Until the law was published, actors were uncertain about the nature of that figure: at first it referenced an average of future market prices, and was finally understood to refer to the production cost of the historic fleet. The level thus reflects a compromise between a relative return to the market and a partial redistribution of the rent through indexation to costs, those costs being raised by a risk premium meant to reflect EDF's greater exposure under the new regime. The recently published full-cost figures — about €70/MWh from EDF and about €60/MWh from the regulator — differ chiefly on two bricks: the cost of capital and the deficit of past financing. On the first, a difference of some €5/MWh follows partly from the underlying regulatory frame — a revenue-securing scheme in the regulator's evaluation against a pure-market frame in EDF's — and partly from assumptions about the firm's financial structure: moving from the 40 per cent gearing EDF advocates to the 60 per cent the regulator models lowers the weighted average cost of capital from about 11.9 to about 9.3 per cent. The second brick, an extra-accounting correction for past under-remuneration, accounts for a further €4/MWh. The regulator declined to elaborate on the methodological stakes, and acknowledged having adopted, for want of time, the normative perimeter transmitted by EDF — a perimeter two suppliers contest more fundamentally, asking to whom one speaks when one speaks to EDF, producer or commercial branch, and insisting that the fleet, financed historically through the tariff and the public, is a national resource rather than one actor's. EDF defends a market-risk view with a higher return on capital and compensation for past deficits; the regulator a more conservative approach that limits remuneration through a different capital structure. At the

opaque horizon of the unresolved status and mission of EDF, calculation assumptions that are decisive for the cost of nuclear — and so for the level of its regulation — remain in suspense.

The actors are also left in a double uncertainty over the redistributive scheme should prices rise again. The first uncertainty, less central here, concerns the absence of clear redistributive objectives: who would benefit — households, professionals, industrials — in what proportion, and on what principles of justice or sobriety? The second concerns operationalisation: the heterogeneous timing of supply contracts, the termination of potentially eligible clients, and divergent consumption profiles all compound in the ex post settlement of the mechanism, and the experience of the crisis-era support schemes augurs great complexity for the supply business. What emerges is a shared sense of uncertainty — the regulator and operator excepted — over the opacity of the decision and the lesser merit of the new regulation relative to ARENH, which will expose both EDF, through the absence of a floor, and consumers, through the limits of a partial levy in the event of a very large rent, to the unpredictable variation of electricity markets.

8. Discussion and conclusion

The promoters of liberalisation long defended the market as a means of dissolving the distributive question, replacing it with an ideal of efficiency and the maximisation of social benefit. The many political mobilisations of the past two decades show that the market did not attain that goal: public authorities intervene regularly in design, most often justified by the identification of market failures but most often, too, with an unspoken agenda of political and economic rebalancing. Historically, electricity pricing was embedded in a logic of public service grounded in cost-based accounting and notions of fair return (Reverdy & Breslau, 2019). French political representations of price formation remain largely anchored in that cost-based regime, in which price surges appear as unjustifiable rents: EDF's profits, suppliers' margin strategies, and traders' arbitrage gains are read not as efficient outcomes of coordination but as failures of public control, feeding a broader crisis of legitimacy.

Read against the upheavals the market underwent, public interventions in design were in the end few, and the limitation of distributive effects owed mainly to the persistence of ARENH — which let part of nuclear output be valorised on the basis of an estimate of its cost, bypassing the market — and to the tariff shield borne by the state. ARENH proved robust in crisis, returning

the production cost of historic nuclear to the customers of the transactions it governed, its own arbitrage limited by the regulator's strong control over execution. Its institutional weakness lay in its asymmetry and the arbitrage that asymmetry permits; exploited in 2016, that opportunity was not solicited during the crisis. The asymmetry sprang as much from the failure to anticipate low prices as from institutional constraint, since making the mechanism symmetric would have meant protecting a dominant EDF when prices fell, on a condition — separated accounts — that the firm refused in order to preserve its strategic autonomy.

The most critical distributive effects of the crisis owed less to ARENH's design than to the arbitrary limitation of its volume. The conflictual negotiations to reform and extend it to the whole fleet could not conclude in time; the device was therefore weakened as the crisis broke, its protective reach reduced and wide latitude left to market intermediaries, who transferred economic risk onto their clients and drew large benefit from the fall in spot prices on the way out of the crisis. Such practices are hard to censure, for they belong to ordinary market strategy, and no predatory conduct was established. The redistributive instruments proposed at the European level, founded on the taxation of the inframarginal rent, proved powerless, for the notion rests on a marginalist representation that does not correspond to the reality of exchange: the large volumes traded forward, at heterogeneous times and therefore heterogeneous prices, make a redistributive intervention in crisis impossible, and the impossibility of tracing real transactions under commercial secrecy prevents the deployment of instruments capable of capturing and redistributing rents. The adherence of part of the administration to such instruments testifies as much to its institutional dependence on the Commission as to a thin expertise and an over-confidence in the marginalist representation.

The distribution of market expertise within the state helps to explain this weakness. The best market experts belong to regulatory authorities whose mission is to verify that transactions approach the market ideal, and who are not, in principle, favourable to multiplying distributive interventions; this allocation of competence contributes to the structural opacity of the market. The regulator was likewise not proactive in questioning the methods of computing the tariff it administers; expertise asymmetries and institutional inertia favoured the retention of a method that let EDF capture a large part of the nuclear inframarginal rent in 2023 and 2024, while consumers who had placed their trust in the tariff were the chief losers. A political balance

favourable to EDF may explain the reluctance to question the method, but the magnitude of its distributive effect was probably not mastered. The distributive steering of the crisis depended heavily on the strategies of redesign and the complementary instruments mobilised: ARENH was effective over the volumes it controlled, whereas the regulated tariff probably obscured and amplified its distributive effects.

Two analytical conclusions follow. The literature in law-and-economics and economic sociology stresses the asymmetries between market actors and the regulator, and the lens is not without purchase here, given EDF's economic expertise, probably superior to that of the various regulators; long placed at the service of the general interest, that expertise was, under political tension with the state, increasingly turned toward the firm's own project. But capture is not the whole story. The independent regulator, with access to real transactions and solid expertise, defends a prudent position toward interventionist political designs, consistent with its institutional mission of integrating the French market into the European one; its expertise is not systematically placed at the disposal of government, and can collide with institutional considerations. The state's regulatory capacity is thus structured — and sometimes riven — by the distinction between a limited administrative expertise in the service of politics and a more solid regulatory expertise that does not share the same political project or the same constraints (Eberlein & Grande, 2005). More than commercial secrecy or the diversity of transactions, it is administrative routine that displays a powerful inertia, and the political logic of accepting flawed instruments so long as they yield acceptable short-run balances that opposes a more robust, model-based effort: removing ARENH's cap, coupled with a price increase, would have strengthened the regulation far more than its rationing did. The further public interventions push exchange away from an idealised market, the more this division of roles risks weakness — yet the argument so often raised against redistributive design leaves the distributive question itself, central to the political acceptance of the market, unresolved.

The crisis, finally, returns us to the entanglement of three representations of electricity that coexist in actors' capacities to interpret it: the traditional French image of a public service supplied at production cost; the marginalist account of a price that clears instantaneous supply and demand; and a practice of exchange that is overwhelmingly one of forward contracts at highly variable prices. Actors move between these frames to understand, explain, evaluate, and

act — and the simplifying stagings that assimilate all exchange to visible markets are not only strategic resources but inherited dispositions, the sediment of a strong socialisation to economic theory. Redistributive performativity names the work of holding these frames together under the constraints of political mobilisation, institutional validation, and expertise. Its limits, this case suggests, lie less in regulatory capture than in the cognitive frames through which crises are made legible and in the institutional distribution of the expertise required to act — a distribution that leaves the state, at the very moment its intervention is most demanded, acting upon a price it cannot fully see.